IMPARTIAL ANALYSIS OF MEASURE K

Measure K is a bond measure placed on the ballot by the Southern Humboldt Community Healthcare District. The District seeks voter approval to issue general obligation bonds to fund capital improvements to hospital facilities, examples of which are included in the measure. These include a new hospital facility, an upgraded emergency room, flight and heliport facilities to accommodate expedited life flight air transportation, meeting upcoming seismic requirements, and complying with the Americans with Disabilities Act.

The measure would authorize the district to sell bonds in the amount of $25 million and levy a property tax to fund the repayment of the bonds. The district estimates that the average annual tax necessary to fund the repayment would be $80 per $100,000 of assessed property value, and that the total cost of debt service, including principal and interest, would be approximately $50.4 million. The measure requires a two-thirds vote to pass.

Generally, an ad valorum tax on real property may not exceed one percent of the full cash value of the property, pursuant to the California Constitution. (An ad valorem tax is a tax on real property as a percentage of the cash value of the property.) However, there is an exception that allows a greater ad valorem tax if it is used to pay the bonded indebtedness for the acquisition and improvement of real property, which has been approved by a two-thirds vote. One of the intended uses of the funds by the district is the acquisition of medical equipment. This likely does not fall within the constitutional exemption for the acquisition and improvement of real property.

Pursuant to Government Code Section 53410, a bond measure submitted to the voters must have a statement indicating the specific purpose of the bonds and a requirement that the bond funds will be used only for these specific purposes, the creation of an account into which the bond proceeds will be deposited, and an annual report containing the amount of the funds collected and expended and the status of any project authorized to be funded. Measure K complies with these requirements.

The above statement is an impartial analysis of Measure K. If you desire a copy of the ordinance or measure, please call the elections official's office at 707-445-7481 and a copy will be mailed at no cost to you.

You may also access the full text of the measure on the county website at the following website address (www.humboldtgov.org/elections).

Argument in Favor of Measure K

For victims of heart attacks, strokes and accidents, seconds can mean the difference between life and death. Measure K ensures our community will have access to life-saving medical care when we need it most.

Jerold Phelps Community Hospital is Southern Humboldt County's only hospital, serving residents living in a 450 square mile radius. Built 77 years ago in a converted home, the hospital does not meet current standards for health, safety, or access for the disabled. The roof, floors, and plumbing are all failing. State law requires the building be replaced with a modern facility in the next 3 years or be closed.

Closure of the hospital will be catastrophic to many members of our community, especially those in areas that can be cut off from outside help during fires, earthquakes, storms, and other emergencies.

Measure K will provide the funds to build a modern hospital with state-of-the-art Emergency Rooms and medical technology for improved patient care and shorter wait times. The hospital will also offer advanced medical treatments and services that are not currently available locally, including bone density scans, MRI services, and a lifesaving helicopter stop, eliminating the need for residents to travel many miles outside of the county for health services.

Measure K funds will be combined with other funding sources including grants and donations to reduce the cost to local taxpayers. A citizen's oversight committee consisting of local residents will ensure no bond funds will be spent until matching funds are available to reduce the cost to local taxpayers.

Having a local hospital to serve our community is essential, which is why Measure K is supported by first responders including firefighters, paramedics, doctors and nurses.

A new hospital will provide critically needed local jobs helping to strengthen our local economy.

Please vote Yes on Measure K.

/s/ Yvonne Hendrix, Director, Southern Humboldt Chamber of Commerce
/s/ Seth Ayers, Chief, Redway Fire Protection District
/s/ Carolyn Hino-Bourassa, Local Pharmacist, Volunteer & Taxpayer
/s/ Christina Huff, Non-Profit Board Member & Local Taxpayer
/s/ Shawn Masterson, Business Owner & Community Volunteer